

Accounts Payable Invoice Processing SOP

Purpose

Standard process for receiving, validating, approving and processing invoices in an accounts payable cycle.

Scope

Applies to all invoices received by email or mail since 99% of invoices come by this route. The remaining invoices are one-off special cases that have different procedures.

Roles and Responsibilities

AP clerk – Receives invoices, invoice validation, send to managers for approval, processing invoices

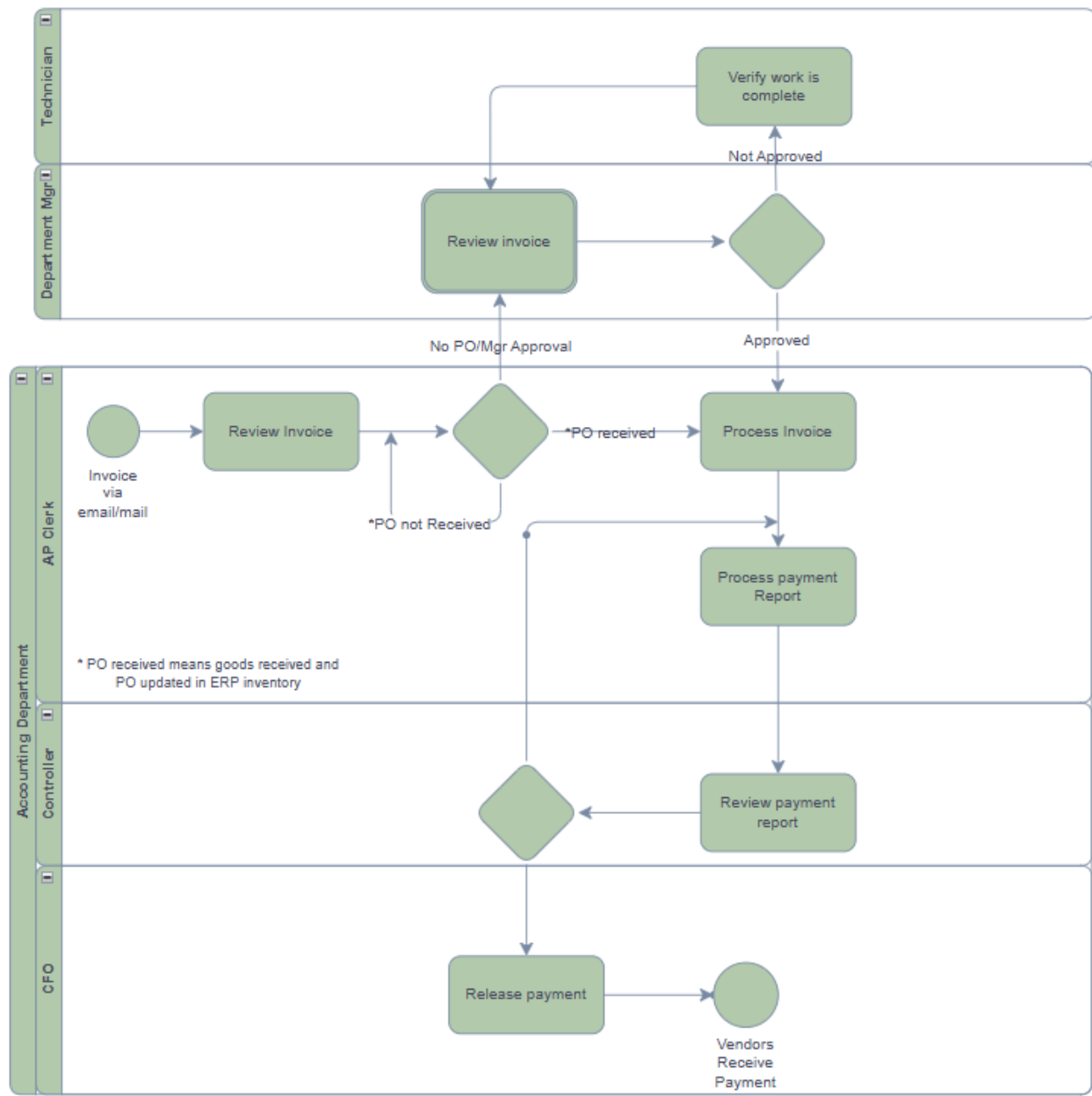
Department Manager – Verifies invoice, approves payment

Controller – Payment report review

CFO/Executive – Release payments

Process Flow

BPMN Diagram of AP Invoice Processing SOP



Steps:

1. Invoice received by email or mail
2. AP clerk reviews invoice. (Is the invoice a duplicate, a valid invoice, new vendor, is there a PO)

3. If the invoice has a PO: has the PO been received in the ERP system, if so then invoice is okay to process. If not, wait for the PO to be received and forward to processing.
4. If invoice doesn't have a PO: forward the invoice to department managers for approval
5. Department managers check if work is complete and approves the invoice for payment. If work is not complete, the manager forwards the invoice to the department for further investigation.
6. Invoices approved by managers, and POs received in ERP are processed by AP clerk. The AP clerk apply proper GL codes, apply to jobs and departments if applicable, and check totals and enter invoice into ERP system.
7. Outstanding invoice report is pulled from ERP system. Invoices due for payment are added to payment report. Totals are checked. Report forwarded to Controller for approval
8. CFO authorizes the release of funds and the vendors are paid.

Controls/Risk Points

Control Activity	Risk Mitigated	Owner
Invoice approval by manager before processing payment	prevents unauthorized payments, or work not yet complete	department manager
Verify not duplicate invoice	prevents paying vendor twice	AP Clerk
Verify vendor information	Vendor and invoice is legitimate	AP Clerk
PO is received in ERP once shipment comes in	Shipment is correct and viable. AP doesn't need approval from each invoice warehouse.	shipping & receiving clerk
Payment batch is reviewed by controller	AP clerk prepares payment report but controller reviews legitimacy of payment and totals add up.	Controller
Payment authority is different from person prepares invoices to be paid.	Only CFO has authority to release funds. Prevents fraudulent payments.	CFO

Exception Handling

Missing POs: Verify with shipping to see if PO was issued. If PO issued, then fill information on invoice and carry on with AP invoice processing procedures. If PO not issued, shipping will create a PO and receive the shipment if shipment arrived, and AP can continue with AP invoice processing procedures.

Invoice discrepancies: Verified amount and number of items received with shipping. If PO is incorrect, adjust the PO numbers. If invoice values incorrect, reach out to vendors for verification.

Duplicate Invoice: Monitor for duplicate invoices as regular practice. Vendors want to make sure customers receive invoices and will send out the same invoices multiple times. All new invoices are electronically filed. New invoices are checked to this file. If file already exist, then invoice is not added to file.

Incorrect GL coding: All accounts are reconciled at the end of the month. If an item is incorrectly coded, the GL can be changed at this time before accounts are closed.